Project: A1 Credit risk

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Part 1: Data exploration and visualization

Replace the prompts with your answers. Keep the report to three pages.

Variables and grouping choices

Which two variables did you choose, and why?
How did you define the groups, and why?

Figure

Show bad-credit rates and sample sizes for the joint groups. Use descriptive category labels.

Comments - at most four bullet points

Highest bad-credit rate versus largest number of bad credits.
Reliability: group sizes and grouping choices.
One useful takeaway for the bank.

Part 2: WOE and logistic regression

Predictor selection and level choices

Name your final predictors and justify their relevance and how many you selected.
For each predictor, describe its levels and justify these choices.

Figure

Insert one figure with training and test ROC curves, including both AUC values.

Comments - at most four bullet points

Predictor with the highest training IV and what this indicates.
WOE pattern of that predictor: which levels are more or less risky?
Training versus test ROC curves: performance and possible overfitting.
Main conclusion for the bank and one limitation.

Part 3: Scorecard

Full scorecard

Include the full scorecard, using columns: predictor, level and points.

Figure

Insert one figure with two boxplots of test scores: observed good and bad outcomes. Highlight the highest-scoring bad observation and the lowest-scoring good observation.